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County: los-angeles

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Case Number: 25STCV25720 Hearing Date: September 16, 2026 Dept: 730

Superior Court of

California

County of Los Angeles

Department

730

VINELAND

CAPITAL GROUP, LLC, et al.

Plaintiffs,

vs.

WILLIAM

E. SHAMLIAN, et al.,

Defendants.

Case No.:

25STCV25720

Hearing

Date:

September 16,

2026

ORDER

SUSTAINING, IN PART, AND OVERRULLING, IN PART, DEMURRER TO COMPLAINT WITHOUT
LEAVE TO AMEND

I. BACKGROUND

Plaintiffs

Vineland Capital Group, LLC ("Vineland") and Sun Valley Holdings, LLC ("Sun Valley") entered into a contract with Defendant California Growers League ("CGL") for a commercial lease of 11019 Penrose Street, Sun Valley, California (the "subject property"). During the pendency of the lease, CGL allegedly made material changes to the property plans without notifying Plaintiffs, violating the contract. Plaintiffs sued Defendants for three causes of action, including fraud.

On April 29, 2026, Defendants CGL and William E. Shamlian ("Shamlian") (collectively "Moving Defendants") filed the instant demurrer to the FAC. Plaintiffs filed an opposition. Moving Defendants filed a reply.

II. request for judicial notice

The

Court takes judicial notice of Moving Defendants's requested documents, pursuant to Evidence Code section 452. Exhibit 1, Moving Defendants' served Request for Admissions, and Exhibit 2, Sun Valley's responses to the Request for Admissions, are admissible as admissions inconsistent with the allegations of the pleading before the Court. (See *Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal.App.3d 593, 604-605 ["The court will take judicial notice of records such as admissions, answers to interrogatories, affidavits, and the like, when considering a demurrer, only where they contain statements of the plaintiff or his agent which are inconsistent with the allegations of the pleading before the court."].) Exhibit 3, notice of ruling on the Court's order, is proper for judicial notice under Evidence Code section 452, subdivision (d).

II. LEGAL STANDARD

A demurrer for sufficiency tests whether the complaint

states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747 (Hahn).) When considering demurrers, courts read the allegations liberally and in context. In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.)

“A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. (Code of Civil Procedure §§ 430.30, 430.70[1].) “The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action.” (Hahn, supra, 147 Cal.App.4th at p. 747.)

At the pleading stage, a plaintiff need only allege ultimate facts sufficient to apprise the defendant of the factual basis for the claim against him. (Semole v. Sansoucie (1972) 28 Cal. App. 3d 714, 721.) A “demurrer does not, however, admit contentions, deductions or conclusions of fact or law alleged in the pleading, or the construction of instruments pleaded, or facts impossible in law.” (S. Shore Land Co. v. Petersen (1964) 226 Cal.App.2d 725, 732 (internal citations omitted).)

III. DISCUSSION

Moving

Defendants request the Court sustain the demurrer as to Sun Valley, in full, as Sun Valley is not entitled to maintain an action or proceeding in the state of California. Moving Defendants also request the Court sustain the demurrer to the FAC, in full, as it fails to state facts sufficient to constitute a cause of action.

A. Sun Valley

Moving

Defendants request the Court sustain the demurrer as to Sun Valley as Sun Valley is not entitled to bring the subject lawsuit. Pursuant to Corporation Code section 17708.07, subdivision (a), “a foreign limited liability company transacting intrastate business in this state shall not maintain an action or proceeding in this state unless it has a certificate of registration to transact intrastate business in this state.”

Although

the FAC states Sun Valley is, and all times relevant to the complaint, was a "Limited Liability Compan[y] duly formed and operating lawfully[.]" Moving Defendants provided judicially noticeable evidence to the contrary. (FAC ¶ 1.) Moving Defendants served requests for admissions on Sun Valley, requesting they admit that Sun Valley: 1) was organized under the laws of the State of New Mexico; 2) is registered with the Secretary of State of New Mexico; and 3) is not and has never been registered with the California Secretary of State. (RJN Ex. 1.) Sun Valley served verified responses, admitting each request. (RJN Ex. 2.) As this is a verified admissions that contradicts the allegations of the FAC, the Court may consider it when ruling on demurrer. (See *Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal.App.3d 593, 604-605.)

As the evidence demonstrates Sun Valley is a foreign limited liability company transacting intrastate business without a certificate of registration, Sun Valley cannot bring or maintain an action in this state. Therefore, Sun Valley's claims are subject to demurrer. The burden is on the pleading party to show in what manner he can amend the complaint, and how that amendment will change the legal effect of the pleading. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 349; *Hendy v. Losse* (1991) 54 Cal.3d 723, 742.) Sun Valley provides no basis upon which Sun Valley can or will cure this issue, beyond saying "the appropriate remedy would be a limited stay or abatement to permit compliance." (Opp., pg. 5 ¶¶ 9-10.) As Sun Valley was not registered at the time of filing this action, Sun Valley was never entitled to file this action; later obtaining registration cannot cure that Sun Valley had no right to file this action.

The

Court sustains the demurrer as to Sun Valley, without leave to amend.

B. First Cause of Action - Breach of Contract

Moving

Defendants request the Court sustain the demurrer against Vineland's first cause of action for breach of contract, as Vineland did not state facts sufficient to establish a cause of action. "To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) the plaintiff's performance of the contract or excuse for nonperformance, (3) the

defendant's breach, and (4) the resulting damage to the plaintiff." (Richman v. Hartley (2014) 224 Cal.App.4th 1182, 1186.)

Plaintiffs assert two separate breaches of contract: breach of paragraph 18 of the subject contract, when CGL allegedly failed to disclose to Plaintiffs alterations to the premises and obtain Plaintiffs' consent, and failure to pay rent and other fees associated with the lease, breaching the payment provisions. Paragraph 18 of the contract provides that "Tenant shall not make any alterations in or about the Premises, including installation of trade fixtures and signs, without Landlord's prior written consent, which shall not be unreasonably withheld. Any alterations to the Premises shall be done according to law and with required permits. Tenant shall give Landlord advance notice of the commencement date of any planned alteration, so that Landlord, at its option, may post a Notice of Non-Responsibility to prevent potential liens against Landlord's interest in the Premises" (FAC, Ex. A.)

Moving Defendants first argue that any allegations as to breach of paragraph 18 is barred by the provisions of the Management Services Agreement ("MSA"), which Moving Defendants allege is subject to judicial notice as an exhibit attached to the Request for Admissions ("RFA"). The Court disagrees; although the RFA is admissible for purposes of evaluating admissions contradictory to the allegations of the complaint, not all attachments to the RFA are judicially noticeable without caveat. (Supra Del E. Webb Corp., 123 Cal.App.3d 604-605.) Moving Defendants request the Court take judicial notice of a particular portion of the MSA, allowing Moving Defendants the right to make 'leasehold improvements', as it is allegedly contradictory to the FAC's assertion that Moving Defendants failed to obtain Plaintiffs' consent in advance of material changes to the property. (FAC ¶ 7.) However, the scope of a 'Leasehold improvement' is not specifically outlined in the MSA beyond general improvements and equipment. (RJN, Ex. 1, Ex. C.)

In taking into account potentially contradictory admission responses, '[t]he hearing on demurrer may not be turned into a contested evidentiary hearing through the guise of having the court take judicial notice of affidavits, declarations, depositions, and other such material which was filed on behalf of the adverse party and which purports to contradict the allegations and contentions of the plaintiff.'" (Id.) As the scope of what is included in 'Leasehold Improvement' is up for debate, this is not a judicially noticeable piece of evidence. The Court would be required to effectively hold a mini-evidentiary hearing to determine the

applicability. Therefore, the MSA cannot be used as evidence to demonstrate the FAC is not sufficiently pled as to lack of prior consent.

Furthermore, the Court

notes there is no judicially noticeable evidence to indicate that the MSA or Purchase Agreement ("PSA") are attributable to either Plaintiff. The PSA is signed by Aram Sogomonian, CEO of Hempen, Inc., California Growers League Management, LLC ("CGLM"), and CGL. (RJN, Ex. 1, Ex. B.) The MSA is signed by CGL and CGLM. (RJN, Ex. 1, Ex. C.) There is no evidence either constitutes an agreement by Plaintiffs Vineland or Sun Valley to allow Moving Defendants to make changes.

Moving Defendants have

provided no judicially noticeable evidence demonstrating Plaintiffs gave pre-existing consent for Moving Defendants to alter plans. Therefore, the allegation that Moving Defendants acted without consent, violating paragraph 18 of the subject contract, is still well pled. As Plaintiffs have articulated a cause of action for breach of contract, the Court overrules the demurrer on this cause of action. The Court does not address the argument concerning payment provisions, as that is a secondary argument on the breach of contract cause of action.

C. Second

Cause of Action – Fraud

Moving Defendants request

the Court sustain the demurrer as to the second cause of action as Plaintiffs have insufficiently pled this cause of action. Plaintiffs appear to specifically be pleading under a theory of intentional misrepresentation. "The elements of fraud that will give rise to a tort action for deceit are: " '(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.' " (Engalla v. Permanente Medical Group, Inc. (1997) 15 Cal.4th 951, 974.)

Plaintiffs' FAC alleges that Defendants

allege they would fully disclose, obtain permission for, and comply with the terms and conditions of the lease during in person meetings with Sogomonian on behalf of Plaintiffs in order to induce Plaintiffs to enter into the lease agreement. Defendants allegedly knew the representations were false when made and were made with intent to deceive Plaintiffs.

Moving

Defendants first rely upon the text of the MSA, which, as previously addressed, is not judicially noticeable for these purposes on demurrer. Therefore, the Court does not consider this argument.

Moving Defendants next argue Plaintiffs failed to provide facts to demonstrate intent and/or justifiable reliance. The Court disagrees, and notes Moving Defendants rely upon case law addressing a final trial ruling, rather than standards on demurrer. Plaintiffs sufficiently pled Moving Defendants intent to deceive Plaintiffs and that Plaintiffs justifiably relied upon these assertions. “Justifiable reliance is ordinarily a question of fact that is not properly determined on demurrer, but ‘whether a party’s reliance was justified may be decided as a matter of law if reasonable minds can come to only one conclusion based on the facts,’ which facts include consideration of ‘the knowledge, education and experience’ of the person whose reliance is at issue.” (Amiodarone Cases (2022) 84 Cal.App.5th 1091, 1111.) Here, there is no evidence to support as a matter of law that Plaintiffs may not have justifiably relied upon the alleged fraudulent statements.

The Court overrules the demurrer to this cause of action.

D. Violation
of the UCL – Third Cause of Action

Moving Defendants finally request the Court sustain the demurrer as to the third cause of action for violation of the UCL, as the complaint does sufficiently plead facts to support fraudulent or unlawful practices. The UCL identifies unfair competition as any unlawful, unfair, or fraudulent business act or practice. (Bus. & Prof. Code § 17200.) Each category represents a separate and distinct basis for liability. (Id.; Beaver v. Tarsadia Hotels (9th Cir. 2016) 816 F.3d 1170, 1177.)

The FAC specifically alleges that Defendants actions were fraudulent and illegal, not unfair. As the Court found the section on fraud was sufficiently pled, the Court also finds the claim for violation of the UCL pursuant to fraud is also sufficiently pled.

Therefore, the Court overrules the demurrer as to this cause of action.

IV. CONCLUSION

Moving Defendants' demurrer is sustained, in part, as to Sun Valley's claims, and otherwise overruled. The Court does not grant leave to amend.

Moving Defendants are ordered to give notice.

DATED:

September 16, 2026

Hon. Alexander C.D. Giza

Judge of the Superior Court

PLEASE

TAKE NOTICE:

- Parties

are encouraged to meet and confer after reading this tentative ruling to see if they can reach an agreement.

- If a

party intends to submit on this tentative ruling, the party must send an email to the court at SMCDEPT730@lacourt.org with the Subject line "SUBMIT" followed by the case number. The body of the email must include the hearing date and time, counsel's contact information, and the identity of the party submitting.

- Unless

all parties submit by email to this tentative ruling, the parties should arrange to appear remotely (encouraged) or in person for oral argument. You should assume that others may appear at the hearing to argue.

- If

the parties neither submit nor appear at hearing, the Court may take the motion off calendar or adopt the tentative ruling as the order of the Court. After the

Court has issued a tentative ruling, the Court may prohibit the withdrawal of the subject motion without leave.

[1] Undesignated

statutory references are to the Code of Civil Procedure.